

The concept of income [¶5-010]

[¶5-010]

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Income tax is imposed by s [BB 1](#) of the Income Tax Act 2007 (IT07). The courts have recognised that it is the Act itself that imposes the liability for income tax. The Commissioner acts in quantification of the amount due.

Section [CA 1\(2\)](#) states that an amount will be included in income of a person if it is their income under ordinary concepts.

To determine what receipts are included within assessable income and, consequently, subject to income tax, reference must be made to Pt [C](#) of the IT07. While a number of receipts are deemed to be included in income, the Act does not attempt to provide an exhaustive definition of the term.

It is also important to note that the provisions in Pt [C](#) treat certain types of receipt as income and therefore taxable, even though they may be of a non-income nature under the common law.

A further influence in determining the scope of income is the judicially developed rule that income is something that comes in, ie realisation. Consequently, non-monetary and non-realised gains are generally not treated as income (although certain provisions in the Act operate to override this proposition). Furthermore, windfall gains (gifts, bets, etc) are excluded from the concept of income because of their lack of connection to any income-producing property or activity of the recipient. Capital gains are also excluded, subject to the operation of certain deeming provisions mentioned above.

Judicial definition

It should be noted that the judicial definition of income does not necessarily correspond with an economist's definition. One of the classic statements on the capital-income distinction was stated in *Eisner v Macomber* 252 US 189 (1919) where income was seen as the fruit or produce (eg dividends, rents, royalties) derived from an enduring source such as land or other property (or a person's ability to earn income from personal exertion). By contrast, an economist would favour a definition of income based on accretions to net wealth of an individual by taking the amount spent by a person during the particular taxation period and adding increases or subtracting decreases in net worth.

The most important divergence in analysing the statutory/judicial interpretation of income and the economic definition of income is the capital-income distinction drawn by the former and relatively ignored by the latter. Generally, capital gains are still excluded from the scope of income tax, placing significant pressure on the capital-income border. The decisions in a vast number of cases on this subject have only determined that at best the capital-income distinction is an elusive concept.

The courts have, however, identified several criteria that have been taken as the hallmark of receipts of an income nature. In *Reid v C of IR* [\(1983\) 6 NZTC 61,624](#), the High Court accepted that these were as follows:

- # income is something that comes in
- # income imports the notion of periodicity, recurrence and regularity, and
- # whether a particular receipt is income depends upon its quality in the hands of the recipient.

Last reviewed on 31 December 2025

Characteristics of income [¶5-021]

[¶5-021]

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Although it is not always easy to determine whether a receipt is “income” in its ordinary sense, case law has, over the years, set down some basic principles. These may be summarised as follows.

Income is something that comes in

Income is something that comes in. See *Tennant v Smith* [1892] AC 150, *Lambe v IR Commrs* (1933) 18 TC 212; [1933] All ER Rep 417 per Finlay J. Even if a benefit saves a person from incurring expenditure, the saving is not income: income is what comes in, not what is saved from going out. See *FC of T v Cooke and Sherden* [80 ATC 4140](#).

Linked to this is the proposition that income is something which is money or money's worth. In other words, save for explicit provision to the contrary (eg s [CC 7](#) Consideration other than in money), unless a benefit can be converted into money or money's worth, it is not something that has come in and, therefore, it is not taxable as income.

Having said this, some parts of the Act treat certain economic benefits as income. One example may be found in ss [EW 29–EW 31](#), which deal with the calculation and allocation of income when a financial arrangement ceases.

Periodicity, recurrence, regularity

Income generally has the features of periodicity, recurrence and regularity. See *FC of T v Dixon* (1952) 10 ATD 82; 86 CLR 540. See also *FC of T v The Myer Emporium Ltd* [87 ATC 4363](#); (1987) 163 CLR 199.

Example:

Payments of a student teacher allowance to a trainee teacher were held to be income under ordinary concepts under s [65\(2\)\(i\)](#) of the Income Tax Act 1976 (s [CA 1\(2\)](#) of the IT07). The allowance received was a regular periodical payment made to the taxpayer to defray his expenses while attending teacher's college. The allowance was a contractual payment to which the taxpayer was entitled, so long as he performed his side of the bargain. See *Reid v C of IR* (1985) 7 NZTC 5,176 (CA).

However, in *Jones v Leeming* [1930] AC 415, the House of Lords accepted that profits need not be recurrent within the income year or be capable of recurrence from year to year to be taxable. Further, receipts of a regular nature are not always of an income character.

Example:

A retired bank employee received 4 ex gratia payments from his former employer to supplement his pension. It was decided that the first of those payments was not in the nature of an income receipt. It was simply a gift. See *FC of T v Harris* [80 ATC 4238](#). (Note that in New Zealand, s [CF 1](#) provides that such payments are income.)

In *FC of T v Anstis* 2010 ATC ¶20-221, the High Court of Australia, at [13]–[24], commented on the periodicity, regularity and reliance by a taxpayer on the amount to meet living expenses. The court stated that the periodicity of receipts is not necessarily sufficient to give those receipts the character of income. The periodical nature of a receipt enables the recipient to rely on such amounts to meet regular expenditure. However, on its own it is not sufficient to label the receipts as income. There must be regard had to the totality of circumstances.

Quality in the hands of the recipient

The character of a receipt may depend on its quality in the hands of the recipient. For example, a gift to a solicitor from a client may not be an income receipt if made for personal reasons. See *Scott v FC of T* (1966) 117 CLR 514. However, when such contributions are relied upon by the recipient as a means of support, they may constitute the proceeds from the carrying on of a business. See *G v C of IR* [1961] NZLR 994.

Convertibility into cash

Generally, for a receipt to be income, it must be convertible into money or money's worth. This is often an important consideration when determining the tax treatment of a prize received. A prize will generally be included in a person's assessable income if it is convertible into money or money's worth, and relates in some way to services rendered or derived from carrying on a business (as opposed to a windfall gain). See *Dawson v C of IR* (1978) 3 NZTC 61,252, *FC of T v Cooke and Sherden* 80 ATC 4140. See also *Payne v FC of T* 96 ATC 4407, where the Federal Court of Australia held that the market value of airline tickets obtained under a frequent flyer scheme was not money and could not be turned to "pecuniary account", ie converted to cash. In *Moore v Griffiths* [1972] 3 All ER 399, it was held that cash prizes won by a professional football player were not taxable, because they had the quality of a testimonial or accolade rather than a remuneration for services rendered. Compare this to *Kelly v FC of T* 85 ATC 4283 where a cash prize that was won by a professional footballer for being voted the season's best and fairest player was held to be taxable.

Prizes awarded in kind and not convertible into cash are generally tax free to the recipient. In contrast, prizes that can readily be exchanged for cash are likely to constitute assessable income.

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Non-income receipts [15-026]

[15-026]

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There are several categories of receipt that are recognised as being of a non-income nature. These are capital receipts ([15-031](#)), gifts and legacies, lottery or gambling winnings, reimbursements of private expenses and proceeds from mutual transactions. Generally, any receipt coming within one of these categories would not be included within the recipient's assessable income. If betting is indulged in as a means of producing an income as opposed to gambling as a sport or pastime, winnings can be included in assessable income ([15-167](#)).

Capital gains are not generally liable to income tax. For example, a gain from the sale of an investment asset where the taxpayer is not in the business of dealing in that type of asset and the asset was not acquired for the purpose of resale ([15-031](#)).

Example:

A taxpayer company exercised an option conferred by the company's late governing director to acquire some property. Immediately thereafter, the company sold the property for a substantial profit. The court held that a profit or gain realised from the bounty of a testator does not produce a profit or gain of an income nature. See *AG Healing & Co Ltd v C of IR* [1964] NZLR 222.

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Capital receipts [¶5-031]

[¶5-031]

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The most significant class of non-income receipts are those of a capital nature. Accordingly, accretions to capital or capital receipts are not normally brought into the tax net, unless specific provision is made under the Act. The concept of capital is not defined in the Act and so, like the term "income", it is defined in line with its natural and ordinary meaning. Ultimately, the distinction between capital and income is a matter of common sense in the particular circumstances.

Over the years, a number of tests have been developed by the courts to assist in distinguishing between income and capital receipts, but no infallible criterion has emerged from the cases.

As mentioned at [¶5-010](#), one of the classic statements on the income–capital distinction is found in *Eisner v Macomber* 252 US 189 (1919). In that case, income was seen as the fruit or produce (eg dividends, rents or royalties) derived from an enduring source such as land or other property (or a taxpayer's ability to earn income from personal exertion). Thus, it would follow that the profitable sale of an asset, "the tree", without more, would produce not income but a gain of a capital nature. That proposition has been applied by the courts, so that the proceeds of a mere realisation of a capital asset or a change of investment are not regarded as producing income gains. By contrast, assets ventured in a successful profit-making scheme will generally realise gains of an income nature. See *Californian Copper Syndicate (Limited and Reduced) v Harris* (1904) 5 TC 159.

The courts have been prepared to make a distinction between fixed and circulating capital. The distinction between the 2 was described by Lord Pearce in *BP Australia Ltd v C of T of the Commonwealth of Australia* [1966] AC 224 (PC) at 265–266:

Fixed capital is prima facie that on which you look to get a return by your trading operation. Circulating capital is that which comes back in your trading operations.

This concept was approved by the New Zealand Court of Appeal in *C of IR v Inglis* (1992) 14 NZTC 9,180 in determining that property bought with the purpose of disposal takes on the nature of circulating capital by virtue of s [CB 4](#) ([¶5-197](#), [¶5-217](#) and [¶10-075](#)).

A sum that is received annually or periodically is often treated as income rather than capital, but this factor is not a decisive test ([¶5-021](#)). Likewise, the receipt of a lump sum does not necessarily mean that the receipt is of a capital nature, although it goes some way in asserting that a receipt is of a capital nature.

Example:

Payments by petrol wholesalers to improve retailers' premises in return for a trade tie were held to be capital in the hands of the retailer. See *C of IR v City Motor Service Ltd*; *C of IR v Napier Motors Ltd* [1969] NZLR 1,010. However, one-off inducement payments made to service station proprietors to sell Mobil products exclusively were held to be revenue on the basis that the taxpayers did not give up any part of their business or change the structural nature of their business in exchange for the inducement payment. See *Birkdale Service Station Ltd v C of IR* (2000) 19 NZTC 15,981 (CA). For further discussion on trade tie arrangements ([¶5-419](#)).

See also, *Nethersole v Withers* (1948) 28 TC 501, *Marac Life Assurance Ltd v C of IR*; *C of IR v Marac Life Assurance Ltd* (1986) 8 NZTC 5,086, *Goldfinch and Coley v C of IR* (1988) 10 NZTC 5,246, *Union Steamship Co of New Zealand Ltd v C of IR* (1996) 17 NZTC 12,629 (CA) and *C of IR v Wattie* (1998) 18 NZTC 13,991 (PC).

Land transactions

In contrast, specific provision is made in ss [CB 6A–CB 14](#) to tax capital receipts arising from certain land transactions ([¶7-010](#)).

Example:

On general principles, the profits arising from a land subdivision scheme were of a capital nature. However, the wording, context and background of s 67 of the 1976 Act (found in ss [CB 6A–CB 14](#) of the IT07) showed that profits falling within its specific and detailed language were taxable irrespective of whether they were otherwise to be classified as capital profits. See *Lowe v C of IR* ([1981](#)) 5 NZTC 61,006.

See [¶10-075](#) for a discussion on the capital v revenue distinction in the context of expenditure.

Last reviewed on 31 December 2025

Derivation of income: general concepts [15-040]

[15-040]

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Income is something that comes in. There are several authorities that confirm the view that income is not derived until something has been received, ie that an amount derived during the income year, and upon which income tax is payable, is the total of actual receipts that year.

As an exception to this rule, businesspersons are taxed on an earnings basis and they must include within their assessable income the trade debts owed to them that arise during the income year, even though the moneys payable under the debt may not be received by the end of the income year.

Which rule applies in any one case depends on the nature of the business carried on by the person and the type of receipt in question. Another exception to the receipts principle is provided in s [BD 3\(4\)](#) ([15-043](#)).

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Income derived but not received [¶5-043]

[¶5-043]

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Under s [BD 3\(4\)](#), an amount is treated as being derived even though it may not have been actually paid to or received by a person or has yet to become due or receivable. This principle applies when the amount has been dealt with in the person's interest or on the person's behalf, such as by crediting it to an account.

Example:

A taxpayer deposited some money with a finance company. The money was subsequently lost when the finance company went into liquidation. The taxpayer sought to deduct from his income some of the tax that he had paid on interest in previous years that he had allowed to be compounded and reinvested in the liquidated finance company. This deduction was disallowed. The Taxation Review Authority held that the interest reinvested for him was still income to him and was derived on the date on which it was credited to his account. The authority stated that once interest was credited or added to other funds, reinvested, accumulated or capitalised, the taxpayer was deemed to have derived that interest as income, even though it had not physically been handed over to him. See Case N40 ([1991](#)) [13 NZTC 3,344](#).

See also Case M42 ([1990](#)) [12 NZTC 2,261](#) and *C of IR v The Farmers' Trading Company Ltd* ([1989](#)) [11 NZTC 6,007](#) (CA).

Law: IT07 s [BD 3\(4\)](#)

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Employment income — remuneration derived by an employee [15-051]

[15-051]

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Employment income is derived by an employee, other than a shareholder–employee ([15-053](#)), only when received. This means when it is paid to the employee or, when it has been credited to an account or dealt with in the employee's interest or on the employee's behalf. An employee is a person who receives or is entitled to receive a PAYE income payment. A "PAYE income payment" is defined in s [RD 3](#) as:

- # a payment by way of salary, wages or an extra pay, or
- # a schedular payment.

A PAYE income payment does not include an amount attributed under the attribution rule for personal services ([133-325](#)).

The PAYE rules apply to these payments, and the relevant amounts that are withheld are treated as received and derived by the employee at the same time and in the same way as the PAYE income payment (s [RA 9](#)).

A person's "employment income" is an amount derived in connection with the person's employment or service, being an amount of the following type:

- # salary or wages or an allowance, bonus, extra pay or gratuity
- # expenditure on account of an employee that is expenditure on account of the person
- # the value of certain accommodation
- # a benefit received under an employee share scheme
- # directors' fees
- # compensation for loss of employment or service, and
- # any other benefit in money.

By implication, "employment income" also includes holiday pay, long-service pay, retiring or sick leave accruals and bonuses, because these types of payments are derived in connection with the person's employment.

The term "employment" is defined in s [YA 1](#). The definition includes the activities performed by the Governor-General, a member of Parliament or a judicial officer that give rise to an entitlement to receive a PAYE income payment in respect of those activities.

Employment income does not include a superannuation cash contribution made by an employer to a superannuation scheme for the benefit of employees (unless an employee chooses to treat it as salary or wages). These contributions are subject to fringe benefit tax (FBT) or employer's superannuation contribution tax.

From 1 April 2019, an amount of unrepaid PAYE income overpayment is also treated as employment income ([15-290](#)).

Law: IT07 ss [BD 3\(4\)](#), [CE 1](#), [RA 9](#), [RD 3](#), [YA 1](#) ("[employee](#)", "[employment](#)", "[employment income](#)", "[PAYE income payment](#)")

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Employment income — remuneration derived by a shareholder–employee [¶5-053]

[¶5-053]

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A shareholder–employee of a company is deemed to derive employment income in the same income year as the company is allowed a deduction for payment of that employment income. A company is allowed a deduction of the employment income if it is paid or payable to the shareholder–employee by the 31 March that is the last date for filing the company's return of income. The exception is when the expenditure is classified as the unexpired portion of the company's expenditure on employment income under s [EA 4](#). In that case, the shareholder–employee derives the remaining income in the income year in which that expenditure is no longer unexpired.

Sections [RD 3](#), [RD 3B](#) and [RD 3C](#) set out the circumstances when amounts can be paid to shareholder–employees of certain closely-held companies without deduction of PAYE. Those shareholder–employees who receive both regular salary or wages throughout the year and variable amounts of other employment income are able to elect to split their income so that the base salary is subject to PAYE and the variable amount is paid out before tax ([¶3-012](#)).

The definition of “employment income” in s [YA 1](#) ensures that the income of a shareholder–employee who has elected that employment income is not subject to the PAYE rules remains treated as employment income for the purpose of non-PAYE provisions.

Law: IT07 ss [EI 9](#), [RD 3](#), [RD 3B](#), [RD 3C](#), [YA 1](#) (“[employment income](#)”, “[shareholder-employee](#)”)

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Taxation of inflation-indexed bonds [¶5-055]

[¶5-055]

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Sections [EI 2](#) and [CX 53](#) govern the taxation of the inflation-linked component of financial instruments in respect of money lent.

The inflation-linked component of financial instruments is treated as having been credited in account and capitalised by the borrower for the benefit of the lender on the day after the day on which the level of the relevant indicator index becomes public knowledge. The policy intent is to tax holders of this type of instrument who are cash-basis persons on an annual basis instead of on a payments basis in respect of the inflation-linked amounts. Non-cash-basis persons are taxable under the financial arrangements rules ([¶6-010](#)). The deemed crediting in account of the inflation amount means the sum has been paid for resident withholding tax purposes. See *Tax Information Bulletin* [¶79-114 Vol 7, No 9](#), February 1996 at 12.

An amount credited to the lender of an inflation-indexed bond that is a recovery of a decrease in the amount payable over a previous period, that amount having been previously debited in account, is excluded income of the lender. Therefore, the credit paid in this case is not income derived by the lender.

Law: IT07 ss [CX 53](#), [EI 2](#)

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When dividend income is derived [15-057]

[15-057]

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Generally, a dividend is treated as having been derived when it is paid or credited to the shareholder or otherwise freed from the company's control. A dividend is not to be treated as income merely because it has been declared. The test may be satisfied when the dividend is credited to the shareholder's account, offset against the shareholder's indebtedness to the company or otherwise applied for the shareholder's benefit, eg paid over to some other person at the shareholder's direction.

The Commissioner generally does not recognise the backdating of any dividend. For example, a dividend declared on 8 August 2025 and expressed to be payable for the previous year ended 31 March 2025 must be returned as part of the income received during the year in which it is paid, that is the 2025–26 tax year.

The Commissioner will also not recognise backdating of any excessive remuneration paid by a close company that is deemed to be a dividend. On such an occasion, the amount treated as a dividend remains income in the year in which it was received as salary. It is not treated as a dividend in the year in which the Commissioner forms the opinion that the remuneration is excessive.

Last reviewed on 31 December 2025

Income from personal services [15-059]

[15-059]

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Generally, a person's income resulting from their own personal exertions is derived at the point that it is earned. The tax on that income is paid at that time.

These principles of law were confirmed in Case T4 [\(1997\) 18 NZTC 8,021](#) where a married couple contended they were in partnership in the business of providing for their family and should be able to treat their individual incomes as the joint income of the partnership. The Taxation Review Authority (the Authority) upheld the Commissioner's view that the couple was unable to divide the income between themselves for tax purposes. The law regarded the husband's income as resulting from his own personal exertions and it was therefore derived by him at the point that it was earned. What the husband chose to do with that income was entirely his own affair, but the tax on that income was paid at the point and at the time of derivation. A taxpayer deriving personal services income whilst carrying on a business is subject to the general principles relating to the recognition of business income. Those principles recognise that, in a few instances, personal services income from a business may be recognised on a cash basis.

Case D14 [\(1979\) 4 NZTC 60,507](#) concerned the salary of a staff accountant. The Authority held that the salary was assessable in the income year received, notwithstanding that part of it was attributable to services performed in another income year. The Authority was clear that the salary fell for assessment in the income year received.

In *Brent v FC of T* [71 ATC 4195](#), the taxpayer, the wife of the great train robber Ronald Biggs, sold her story to a newspaper for \$65,250. In the 1970 income year, she only received \$10,000. The High Court of Australia confirmed that only the \$10,000 and not the whole sum of \$65,250 was assessable in that income year.

In *Bowcock v C of IR* [\(1981\) 5 NZTC 61,062](#), a taxpayer obtained 2 years' study leave. He undertook to repay any salary received while on leave should he leave his employer within a stipulated time. The taxpayer did leave and claimed that the amounts that had to be repaid had never been part of his income because they had been subject to this claim of repayment. The court held that the moneys had been the absolute property of the taxpayer when paid and were allowances or emoluments relating to the taxpayer's employment or service and were therefore assessable income.

These general principles of derivation of personal services income are altered in some instances:

s [EI 9](#) contains a matching rule by which the unexpired portion of a shareholder-employee's income is deferred to the following income year

ss [GB 27](#)–[GB 29](#) contain an attribution rule for income from personal services.

Law: IT07 ss [CE 1](#), [YD 4\(4\)](#)

Last reviewed on 31 December 2025

Taxation of life insurance agent's commission [¶5-061]

[¶5-061]

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Generally, a life insurance agent receives commission income in instalments, partly upon sale of a new policy and partly at some later date. If the policy is cancelled shortly after its commencement, the agent may have to return some commission income ([¶3-201](#)).

Commission payments are assessable income in the tax year in which they are received. Any repayment of commission upon a policy cancellation may be deducted from the commission income received in the year of repayment. Advances made in the expectation of commissions being earned are taxable when the commission is actually earned and applied against advances previously made. The advances, therefore, are not necessarily assessable income in the year of receipt.

Example:

The taxpayer received a commission calculated and paid by instalments for each policy he sold. The company for which the taxpayer worked could make advances to the agent, on account of the commission, that were repayable as a debt due to the company in the event that the policy did not remain in force for a 2-year period. If the policy lapsed within 7 months the total amount advanced was repayable, but otherwise it was repayable on a proportional basis relating to the number of complete months during which the policy remained in force. The taxpayer returned as assessable income commissions paid to him by the company exclusive of prepaid commissions. The Commissioner assessed the prepaid commissions as assessable income at the time of receipt. The court held that the advances made to the agent on account of the commission did not have the quality of income derived by the agent at the time of receipt and were properly to be regarded as a loan. See *C of IR v Molloy* ([1990](#)) [12 NZTC 7,146 \(HC\)](#).

Commissions on life insurance sold to agent's family

It is the Commissioner's view that cash commissions received by a life agent on the life agent's own life policy or a family life policy are assessable income of the life agent. Similarly, if a life agent sets off commissions on such policies against premiums payable on these policies, the amount of commission set off is assessable income of the life agent. In contrast, when a life agent receives a discounted premium on their own policy or members of their family receive discounted premiums on family policies, the amount of the discount is not assessable income of the life agent. See public binding ruling [BR Pub 10/07](#) which applies for an indefinite period beginning on the first day of the 2008–09 income year. For the FBT implications of discounted policies, see public binding ruling [BR Pub 10/08](#) and [¶21-535](#).

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Income by cheque [15-065]

[15-065]

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Cheques have been phased out of use in New Zealand. Inland Revenue (IR) has not been accepting cheques since 1 March 2020, and most banks stopped accepting cheques in 2021. For commentary on income by cheque, see CCH, *2023 New Zealand Master Tax Guide*.

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Recognition of income — tax accounting [¶5-075]

[¶5-075]

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Tax accounting is concerned with the time at which income is derived and expenditure incurred. In relation to items of assessable income, the general rule is that unless the item is derived by a person, it is not required to be recognised as income by that person.

Taxable income cannot be calculated before items of income derived and expenditure incurred are ascertained. As a practical matter, the timing of the recognition of income or deductions is critical to determining the impact of tax liabilities. If the recognition of income can be deferred or the taking of a deduction brought forward, significant advantages to a taxpayer can arise. A number of statutory provisions seek to achieve the matching of income and expenditure. See, for example, s [EA 1](#) and [¶10-052](#). See also [¶1-050](#) for the overall effect of the core provisions.

In relation to the recognition of income, the major issues under the Act are whether income ought to be recognised on a cash or an accrual basis, and whether income recognition can be deferred on the basis that although income may have been received it has not been earned in the period of receipt.

Law: IT07 ss [BD 3](#), [EA 1](#)

Last reviewed on 31 December 2025

Cash method of tax accounting [15-077]

[15-077]

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The cash method operates exclusively on the basis of income actually received during the tax year, ie income that is derived when it is received. The Commissioner accepts use of the method in relation to wage and salary earners, doctors and barristers. The cash system may operate unfairly in the case of some persons. When income receipts are spasmodic rather than continuous, and when the year in which expenses relating to the earning of that income does not coincide with the year in which the income is received, a person may find it necessary to pay tax at a relatively higher rate in one year and in another year have little or no income from which to deduct expenses. In some countries, averaging provisions have been enacted to deal with this problem.

However, a cash basis for income is open to abuse through persons adopting the simple expedient of delaying the receipt of cash. Section [BD 3\(4\)](#) is intended to prevent this abuse by providing that a person is treated as having derived income if the amount in question is credited in account, or, in some other way, dealt with in the interest or on behalf of the person. In addition, because a person who is on a cash basis is not required to place a value on work in progress, a delay in completion of the work allows deferral of derivation of the income until a subsequent tax year.

Law: IT07 s [BD 3\(4\)](#)

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Accrual or earnings method of tax accounting [¶5-078]

[¶5-078]

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The accrual or earnings method treats as income amounts that have been earned though not necessarily received, ie income is derived when it becomes due, even though it has not been received by the person. The method requires that the income and the expenses that arise from the same transaction should be recognised at the same time. Therefore, amounts that have been earned but for which no payment has yet been received are required to be brought into account as a debt. The accrual or earnings basis is a method that recognises the realities of business, in which business income is represented by trading profits, not receipts. This earnings-related concept applies to amounts that have been earned but not received in the period and amounts received but not actually earned in the period.

Example:

Under an earnings approach, amounts received in a particular income year but not earned are not required to be taken into account as income (ie income is not derived unless and until it is earned).

See *Arthur Murray (NSW) Pty Ltd v C of T (Cth of A)* (1965) 114 CLR 314.

However, it must be remembered that under current law the earnings principle applies only to gross revenue and does not impinge on the timing of deductibility, which is subject to its own specific code. If the trading debts brought in as income are subsequently not recovered, they may be written off and a deduction would be allowed as a bad debt. On several occasions, the Court of Appeal has emphasised that the accrual method applies to most persons carrying on a business.

Example:

The decision in *C of IR v The Farmers' Trading Co Ltd* (1989) 11 NZTC 6,007 is a strong endorsement of the accrual method of tax accounting for businesses selling consumer goods on credit. Richardson J stated that "business profits are derived when and to the extent that gains are made from trading irrespective of the form those gains take. On sale of trading stock, a debt arises in favour of the vendor. The stock leaves his account and prima facie the debt for which it was exchanged should be brought into account in its place. It is implicit in the legislation that trading debts cannot be ignored in the calculation of business profits and must be brought into account on a paper basis if that is feasible."

However, the Court of Appeal did recognise 2 exceptions in which the accrual method might not be appropriate. The first exception is when the trader is providing long-term financial accommodation rather than ordinary commercial credit, ie a trader engaged in moneylending, with the implication that credit instalments should be returned on a receipts basis. The second exception is when the nature of the trader's business may be such that it would be unwise to adopt the accrual method (this would be when it would not be prudent for the trader to follow the accrual method and match costs with revenue in the same period).

See also *Hawke's Bay Power Distribution Ltd v C of IR* (1999) 19 NZTC 15,226 (CA).

In terms of non-business income, it is generally recognised that this income will not be subject to an earnings principle. In the absence of a business, there is no imperative to match income with a particular item of expenditure and income can be accounted for on a cash basis (¶5-077). Like the cash method, the accrual method also has its deficiencies. The principal weakness is that it may require a person to return, and pay tax on, sums that have not actually been received. This may have adverse cash flow implications for the person.

Accrual accounting for financial arrangements

A code for accrual tax accounting in relation to financial arrangements is set out in subpart EW. These provisions apply largely to taxation of debt instruments and require income and expenditure to be spread over the life of the arrangement (¶6-010).

Last reviewed on 31 December 2025

Profit emerging method of tax accounting [15-082]

[15-082]

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Another method of tax accounting is the profit emerging method. This method is a combination of the cash and accrual methods. The profit emerging method of tax accounting is employed for time payment transactions when there are amounts owing by way of instalment at the end of the tax year (receivables). Each receivable is assigned a proportion as to its merchandise content, with the balance being the gross profit content. For the receivables on hand at the end of the tax year, only the merchandise content of those receivables is returned as part of assessable income for that year. The gross profit content is returned in a following tax year when the receivables fall due for payment. The Commissioner has accepted the use of the profit emerging method for a department store selling consumer goods by way of hire purchase sale. However, the Court of Appeal in *C of IR v The Farmers' Trading Co Ltd* (1989) 11 NZTC 6,007 (CA) held that the method should not be adopted for credit sales where title to the consumer goods passes immediately upon sale (15-078).

Last reviewed on 31 December 2025

Appropriate method of accounting [¶5-087]

[¶5-087]

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The general principle is that a person must adopt the method of tax accounting that best discloses the person's true income. It is the task of the courts to decide which of several accounting methods would produce the most accurate profit figure for a tax year. It seems that the courts, after the decisions in *Fincon (Construction) Ltd v C of IR* [69 ATC 6034](#), *C of IR v The National Bank of New Zealand* [\(1976\) 2 NZTC 61,150 \(CA\)](#) and *C of IR v The Farmers' Trading Co Ltd* [\(1989\) 11 NZTC 6,007 \(CA\)](#), regard the accrual method as generally being the appropriate method of tax accounting for persons carrying on a business. For accounting for long-term construction contracts [\(¶7-385\)](#).

Commissioner's statement

The general rule is that the accrual or earnings method is the most appropriate method of tax accounting for professionals carrying on a business. An exception to that rule was previously recognised for barristers and doctors, who were expected to compute their professional income on a cash or receipt basis. This position has been modified in the Commissioner's interpretation statement, [IS 16/06](#), "Income tax — timing — when is income from professional services derived?". The statement replaces a number of earlier PIB and TIB items on this topic, in particular with regard to medical practitioners, barristers sole, directors and professionals who operate through a company.

The statement discusses the general principles of when the cash basis and the accrual basis may be used and confirms no general rule of law requires that any particular profession must account for income using one method or the other. However, the correct method is not a matter of choice or practice. Identifying the correct method is a question of fact, having regard to the nature of the business or income-earning activity of any given professional. The appropriate method is the one that provides a substantially correct reflex of income for the particular taxpayer.

The statement identifies that the courts consider a variety of factors when determining which method is appropriate for a particular business or profession. Not all factors will be relevant in every case and the factors will likely be given different weights. The courts consider these factors:

- # the type of activity carried on by the taxpayer that gave rise to the income
- # the characteristics of the type of income at issue
- # the legal and regulatory environment in which the taxpayer operates
- # the scale of the business or income-earning activity, and
- # the level of sophistication or complexity of the business.

In each case, these factors must be weighed against one another to decide which method is appropriate.

The statement also notes that the courts have held that a cash basis may be appropriate in the following circumstances:

- # an ordinary individual who does not carry on a trade, profession, or business
- # a business or income-earning activity involving a professional person marketing nothing but their own services and receiving nothing but professional fees
- # a business in which expenditure contributes to income in a subsidiary or minor degree, and
- # a business in which the risk of non-collectable trade debts is unusually high.

In most other situations where income is earned from professional services, the accrual basis will be appropriate.

When a person accounts for income on a cash basis, that person's income is derived when it is received. When a person accounts for income on an accrual basis, that person's income is derived when it is earned. The time at which income is earned may be evident from the contract. The cases show that determining when professional fees are earned can be broken down into the following questions:

First, has the taxpayer performed the services required under the contract and discharged their obligations?

Second, is the taxpayer entitled under the contract to demand payment for the services provided?

The statement recognises that if there is no contract or the terms of a contract do not determine when income is derived, then standard accounting principles and commercial practice may assist in determining when income from professional fees is derived. In particular, it will be necessary to determine whether:

the income-earning process is complete

the amount of income can be reasonably calculated, and

what has taken place satisfies the general understanding among practical businesspeople of what constitutes a derivation of income.

The statement acknowledges that earlier PIB and TIB items, which implied that professionals, other than medical practitioners and barristers sole, had to account for income on an accrual basis, were incorrect. As there is no general rule for any particular profession, the statement makes clear that it is a question of fact and the factors discussed above must be applied to any given professional. Thus, the statement confirms that in the case of medical practitioners, each individual's circumstances must be considered. The statement states that having regard to the general nature of a medical practice, a medical practitioner who practices as a sole practitioner on a small scale, with no employees (other than, for example, an administrative assistant or secretary who does not bring in fee income) can account on the cash basis. Other medical practitioners who operate through a larger structure should, in most cases, account for income on an accrual basis. This is because the accrual basis is generally appropriate for most businesses, including professions.

With regard to barristers sole, the statement acknowledges that a barrister sole's practice is usually small in scale and the income is predominantly fees from personal services or legal aid payments. Having regard to the general nature of a barrister sole's practice, it is expected that the cash basis would generally be appropriate. However, some barristers may operate a more sophisticated practice on a larger scale and therefore it is conceivable that in some situations the accrual basis may be more appropriate. The same approach applies to directors.

The statement also modifies the Commissioner's previous approach to professionals who operate through a company. The Commissioner considers that there is no general rule of law that prohibits a company run by a professional in sole practice from accounting for its income on a cash basis. This is provided the professional is the only person providing the services and the scale and sophistication of the business otherwise indicates that the cash basis is appropriate.

The statement recognises that, where it is necessary to change from one basis to the other, s [EG 2](#) provides rules for the transition. The effect of applying s [EG 2](#) is that all income is accounted for when a person moves from a cash basis to an accrual basis. When a person moves from an accrual basis to a cash basis, s [EG 2](#) also prevents income from being double counted.

Last reviewed on 31 December 2025

Adjustment for change in accounting basis [¶5-097]

[¶5-097]

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Under general law, a tax advantage may be obtained by changing from a cash to an accrual (or earnings) accounting method, and a corresponding tax disadvantage suffered on a change from an accrual to a cash method. To overcome these effects, ss [CH 4](#), [DB 52](#) and [EG 2](#) generally provide that, in the income year in which a person changes from a cash accounting method to an accrual accounting method for tax purposes:

- # an amount owed to the person on the last day of the income year before the year of change is income in the year of change, and

- # an amount owed by the person on the last day of the income year before the year of change is an allowable deduction in the year of change.

Similarly, if a person changes from an accrual accounting method to a cash accounting method for tax purposes:

- # the total of all amounts owing to the person in the year of change that have been treated as income in prior years is an allowable deduction in the year of change, and

- # the total of all amounts owing by the person in the year of change that have been allowed as a deduction in previous income years is income in the year of change.

Law: IT07 ss [CH 4](#), [DB 52](#), [EG 2](#)

Last reviewed on 31 December 2025

Adjustments for incorrect apportionment of amounts received for uncompleted transactions at year-end [¶5-110]

[¶5-110]

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The amount derived from certain transactions need only be returned as and when it comes in. For example, for the sale of sections from a property subdivision to be paid for on an instalment basis, the correct basis of returning any amount received is to treat all instalments as containing the same proportion of capital and income. Some persons only start to return income in past years once all amounts equal to the total capital content in the transaction have been received. The Commissioner may make adjustments to ensure amounts received on account of such transactions are accounted for properly by using the Commissioner's general power to amend assessments ([¶4-090](#)).

Last reviewed on 31 December 2025

Authorised income spreading of fines, premiums and payments for goodwill on grant of lease [¶5-115]

[¶5-115]

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While there is no general averaging provision in the Act, certain sections allow allocation of income between the year in which it was derived and later years. Goodwill, fines and premiums are income when received by an owner of land from any lease affecting the land (in such a case, the goodwill is equivalent to additional rent calculated over the whole term of the lease but payable at the commencement as a premium) or by any person on the disposition of any real or personal property, but only if it is the business of that person to deal in such property or if the person acquired it with a view to disposing of it.

Although the amount received is income derived in the year of receipt, the person may apply to have the income allocated between that year and the 5 later income years. The income must be spread on an even basis over the years referred to. The notice of request must be given in the tax year following the tax year in which the goodwill, fines and premiums are derived (s [EI 7\(3\)](#)). The Commissioner may cancel the income spread. In such cases, the balance of the income unreturned is allocated to the income year before the year of cancellation.

A lessee comes within the term “owner of land” and any sum received by a lessee as goodwill on the grant of a sublease constitutes income. If the lessee sells the lease, any goodwill received is a capital receipt, unless the vendor is a person who is in the business of dealing in that class of property or if the property is acquired with a view to disposing of it ([¶5-237](#)).

Note that with s [CC 1B](#) taxing lease inducement payments from 1 April 2013 ([¶5-242](#)), a lease premium may be taxable under both ss [CC 1](#) and [CC 1B](#). However, IR has confirmed that the tax treatment of amounts already subject to s [CC 1](#) does not change. The amount is included in income only once (s [BD 3\(6\)](#)) and the timing rule for lease inducement payments in s [EI 4B](#) does not apply to an amount that is income under s [CC 1](#). See *Tax Information Bulletin* [¶259-103 Vol 25, No 9](#), October 2013 at 27.

Section [CC 1](#) provides that a payment for a permanent easement, not being a periodic payment, is not taxable to the owner of land (the grantor) under s [CC 1](#). This specific exclusion aligns the tax treatment of a permanent easement (or a perpetual right of way) with that for freehold land.

Law: IT07 ss [CC 1](#), [EI 7](#)

Last reviewed on 31 December 2025

Spread of income derived on acquisition of land by Crown [¶5-122]

[¶5-122]

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A person may spread any income derived from the disposition of land to the Crown, whether that land is compulsorily acquired (under the Public Works Act 1981) or otherwise. An application to spread the income must be made to the Commissioner within 12 months of the end of the tax year in which the income is derived. Later applications may be accepted only on a discretionary basis.

The Commissioner may also require satisfactory arrangements to be made for payment of tax on that income. If the income is allowed to be spread, it covers the period between the year in which it is derived and any 3 later income years. The income must be spread evenly over the years referred to. In addition, if income is allocated to 2 or more income years, the same proportionate amount of any deduction allowed for the cost of the land must also be spread over the same income years.

Under s EI 8(4) any allocation made may be subsequently cancelled by the Commissioner. On cancellation, the income and deductions are then allocated to the income year before the year of cancellation, except for income allocated to any earlier income year.

Law: IT07 s EI 8

Last reviewed on 31 December 2025

Spreading of author's income — copyright [¶5-125]

[¶5-125]

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Lump sum payments

Authors of any literary, dramatic, musical or artistic work may apply to spread income when they have been engaged on a particular work for at least 12 months and receive a lump sum payment for the assignment of the copyright or for the grant of an interest in the copyright by licence.

The lump sum payment may be apportioned equally between the year in which the lump sum is received and:

- # the previous income year, when the taxpayer was engaged in the making of the work for a period of 2 years or less, or
- # the previous 2 income years, when the taxpayer was engaged in the making of the work for more than 2 years.

For the income to be allocated in the appropriate fashion, the taxpayer must make application to the Commissioner. The application must be made no later than 6 years after the end of the year of payment. On an allocation being made by the Commissioner, a taxpayer is treated as deriving income in accordance with the apportionment.

A lump sum payment includes an advance on account of royalties.

Other payments

Provision is also made for authors who receive consideration for an assignment or grant other than by way of a lump sum payment. In most instances this will refer to a taxpayer who derives periodic royalties, which are taxable under s [CC 9](#). When the royalties or other payment would be income in a tax year and are received within 2 years after first publication of the work, they may be allocated equally between the year of receipt and the prior year. The wording in s [EI 3\(3\)](#) indicates that such allocation is optional. If an allocation is desired for a non-lump sum payment, the author must make an application to the Commissioner requesting the same. The application must be made within 8 years of first publication of the work.

A first publication of a work is taken to be the first occasion on which the work or a reproduction of it is published, performed or exhibited.

The provisions dealing with non-lump sum payments also apply where it is the author who publishes their own work.

Law: IT07 ss [CC 9](#), [EI 3](#)

Last reviewed on 31 December 2025

Source of income subject to tax [¶5-135]

[¶5-135]

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A person who is resident in New Zealand is liable to tax on all income derived at the time the person was resident, whether the income is derived from New Zealand or elsewhere, and whether or not it is remitted to New Zealand ([¶5-144](#)). A person not resident in New Zealand is liable to New Zealand income tax on income that has a source in New Zealand. A person not resident in New Zealand who does not derive income from New Zealand is not subject to any New Zealand income tax.

A person's liability is subject to some other provisions in the IT07, eg s [BH 1](#), which allows relief from double taxation on income potentially liable to tax in 2 or more countries ([¶5-137](#)), and subpart [CW](#), which sets out which receipts are exempt from income tax.

Last reviewed on 31 December 2025

Double tax agreements [¶5-137]

[¶5-137]

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In certain circumstances, the provisions of the IT07 are overridden by international treaties (or double tax agreements (DTAs)) that New Zealand has entered into with other jurisdictions. Their principal relevance is to non-residents deriving income sourced from New Zealand. Generally, a non-resident deriving New Zealand-sourced income would be taxed on that income in the non-resident's own country of residence. A DTA in broad terms will regulate and integrate the rights of New Zealand to tax the relevant income on a source basis and the other country to tax on a residency basis. The purpose of such agreements is to avoid double taxation of the same income in the 2 relevant jurisdictions. The method by which this integration is achieved provides a right to the country of source to tax (often at a reduced rate) and obliges the country of residence to grant a credit for tax paid by its resident in the country of source ([¶126-280](#)).

Example:

A New Zealand resident receives a pension from Germany. While s [CE 1](#) operates to tax that income in New Zealand, Art 18(2) of the Double Taxation Relief (Federal Republic of Germany) Order 1980 provides that such pension is taxable only in Germany. Since the DTA overrides the domestic law of contracting states, the pension received is not taxable in New Zealand.

Law: IT07 s [BH 1](#)

Last reviewed on 31 December 2025

New Zealand defined [¶5-139]

[¶5-139]

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For tax purposes, “New Zealand” is defined in broad terms. The intent of the extended definition in s [YA 1](#) is to extend the New Zealand income tax jurisdiction to cover the resource exploration and exploitation activities carried out on New Zealand’s continental shelf. For tax purposes, New Zealand comprises the New Zealand land mass and the air space above that land mass. It also comprises the territorial sea of New Zealand (as defined in s 3 of the Territorial Sea, Contiguous Zone, and Exclusive Economic Zone Act 1977; briefly stated, the sea within 12 nautical miles of the coast of New Zealand) including the seabed and subsoil beneath the sea and the air space above the sea, the seabed and subsoil of the continental shelf extending beyond the territorial sea of New Zealand and the water and the air space above that part of the continental shelf beyond the territorial sea (to the extent that there is some exploration or exploitation of that part of the continental shelf or its natural resources).

This last limb of the definition is intended to extend New Zealand’s tax jurisdiction to that part of the continental shelf beyond the territorial sea where exploitation activities such as petroleum prospecting are carried out in the sea or in the air space above the seabed. The definition does not extend New Zealand’s tax jurisdiction to activities carried on away from that air space or seabed, even though they may ultimately be concerned with exploitation of that air space or seabed.

Example:

A seismic survey carried out above the continental shelf would be within New Zealand’s tax jurisdiction. By contrast, the drawing up of the plans for that survey in another country would not be within New Zealand’s tax jurisdiction.

Law: IT07 s [YA 1](#) (“[New Zealand](#)”)

Last reviewed on 31 December 2025

Significance of residence [¶5-142]

[¶5-142]

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The general rule is that residents of New Zealand are taxed on all income irrespective of the country from which it was derived, whereas non-residents are taxed only on their income derived from New Zealand sources. Formerly, it was possible for a New Zealand resident to avoid New Zealand tax on foreign-sourced income by arranging for that income to be derived by a company or a trust established in a foreign jurisdiction. If the trust or company was not resident in New Zealand and did not distribute its income, the income was not subject to New Zealand income tax. Regimes introduced to counter this erosion include: the controlled foreign company (CFC) regime, the foreign investment fund (FIF) regime, the settlor regime for foreign trusts, the transfer pricing regime and the thin capitalisation rules. The purpose of both the CFC and the FIF regimes is to require a New Zealand resident to pay tax on the resident's share of the undistributed passive income of a foreign entity in which the resident has an interest ([¶26-038](#) and [¶26-110](#)). The purpose of the settlor regime is to subject to New Zealand tax the undistributed income of a trust with non-resident trustees if any settlor of that trust is resident in New Zealand. The definition of "residence" for both an individual and a company is a key element in both the settlor and international tax regimes.

A resident may not cease temporarily or regularly to be a resident to avoid either the control test and income attribution under the branch equivalent regime or the settlor designation under the trust regime ([¶25-040](#)). Additionally, residents are not allowed to temporarily lose their residential status in order to receive a taxable distribution from a trust or company without incurring New Zealand income tax.

Principle of territoriality

The extent to which the IT07 should have extra-territorial effect was discussed in *Alcan New Zealand Ltd v C of IR* ([\(1993\) 15 NZTC 10,125](#) at 10,134, where the High Court said:

It is a general principle of statutory construction that the legislature intends Acts of Parliament not to have effect outside New Zealand. Adapting the general principle of the statement by Lord Scarman in *Clark (HMIT) v Oceanic Contractors Inc* [1982] BTC 417; [1983] 2 AC 120 at p 145, unless the contrary is expressly enacted, or so plainly implied that the courts must give effect to it, New Zealand legislation is applicable only to New Zealand subjects or to foreigners who by coming to New Zealand, whether for a short or a long time, have made themselves subject to New Zealand jurisdiction. The principle is a rule of construction only. Presence not residence is the test.

This principle, as stated by the High Court, was affirmed in *C of IR v Alcan New Zealand Ltd* ([\(1994\) 16 NZTC 11,175 \(CA\)](#)) where the Court of Appeal dismissed the Commissioner's appeal from the judgment of the High Court.

For discussion of the residency tests, see [¶1-120–¶1-140](#).

Law: IT07 subpart [YD](#), s [BD 1\(4\)](#), [\(5\)](#)

Last reviewed on 31 December 2025

Income treated as having a source in New Zealand [¶5-144]

[¶5-144]

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The source rules specify the classes of income that are treated as having a source in New Zealand. These are as follows:

- # Business income — income derived from any business wholly or partly carried on in New Zealand: s [YD 4\(2\)](#). Where the business is partly carried on in New Zealand then the income derived from it will have a New Zealand source to the extent to which it is apportioned to that source under s [YD 5](#).
- # Contracts — income derived from contracts made in New Zealand except to the extent to which the contract is performed wholly or partly outside New Zealand and the income is apportioned to a non-New Zealand source under s [YD 5](#). Income derived from contracts made outside New Zealand is also covered if the contract is wholly or partly performed in this country, subject to apportionment to a New Zealand source under s [YD 5](#) (s [YD 4\(3\)](#)).
- # Personal services income — income derived in connection with a person's employment under s [CE 1](#) (salary, wages, allowances and other emoluments) earned in New Zealand, even if the employer is a non-resident for New Zealand tax purposes (s [YD 4\(4\)](#)). The personal services income may be earned in the place where the contract of employment is made, the place where the payment for the services is made, or where the services are actually performed ([¶5-150](#)).
- # Accident compensation — accident compensation payments as defined under s [CF 1\(2\)](#) (s [YD 4\(5\)](#)).
- # Pensions — any pension or annuity paid out of any superannuation scheme established in New Zealand as well as any pension or annuity paid by the New Zealand Government and any gratuitous payment that is a pension within the meaning of s [CF 1\(2\)](#) if the services are provided in New Zealand (s [YD 4\(6\)](#)).
- # Land — income derived from the ownership of land in New Zealand, refer to s [YD 4\(7\)](#). This covers not only the straightforward case of receipts of rent but also other receipts such as fines and premiums deemed to be receipts of an income nature by s [CC 1](#). Income derived under any mortgage of land in New Zealand under s [YD 4\(11\)\(e\)](#). Mortgage interest would be the most common receipt falling within this category.
- # Personal property use — income derived as consideration for the use of (or the right to use) any personal property in New Zealand if the income is paid by a New Zealand resident, or if paid by a non-resident who is entitled to a deduction (s [YD 4\(8\)](#)). This rule does not, however, apply to royalties having a New Zealand source which have a separate class.
- # Royalties —
 - # royalties paid by a New Zealand resident and not paid in connection with a business carried on by the resident overseas through an overseas fixed establishment, or
 - # royalties paid by a non-resident that are deductible by the non-resident ([YD 4\(9\)](#)).
- # Dividends — dividends derived from a New Zealand company (s [YD 4\(10\)](#)). Other income such as convertible note interest derived from membership in a New Zealand company and debenture interest where the debenture was issued by a New Zealand company.
- # Money lent — under s [YD 4\(11\)](#) income from money lent in New Zealand, such as interest or, where the loan transaction is in the form of a commercial bill, a redemption payment, income from securities issued by the New Zealand Government and income derived from debentures issued by a local or public authority. Income derived from money lent outside New Zealand has a New Zealand source when it is lent to:
 - # a New Zealand resident except to the extent the money lent is used by the resident for the purposes of a business they carry on outside New Zealand through a fixed establishment outside New Zealand and the interest or redemption payment is not apportioned to a New Zealand source under s [YD 5\(4\)](#), or
 - # a non-resident if the money lent is used by the non-resident for the purposes of a business they carry on in New Zealand through a fixed establishment in New Zealand.

- # Disposal of property — income from the disposal of property situated in New Zealand (s [YD 4\(12\)](#)). The rule applies to both corporeal and incorporeal property and in the case of profits from the sale of real estate the profits would have to be of an income nature by virtue of the provisions of subpart [CB](#). Ascertainment of the situation of property will depend on common law principles.
- # Beneficiary income — income derived by a beneficiary under a trust to the extent that the income of the trust fund has a source in New Zealand (s [YD 4\(13\)](#)).
- # Products or passengers shipped or embarked in New Zealand — income derived from carrying people or property by air if the transportation leaves from New Zealand (s [YD 4\(14\)](#)). Similarly s [YD 4\(15\)](#) applies to income derived from carrying people or property by sea if the transportation leaves from New Zealand, subject to the apportionment of the income to a New Zealand source under s [YD 6](#).
- # Insurance — 10% of certain insurance premiums paid to non-resident general insurers under s [YD 8](#); s [YD 4\(16\)](#). Income of a non-resident life insurer with life insurance policies in New Zealand and calculated in accordance with s [EY 48](#) (s [YD 4\(17\)](#)).
- # Partnerships — income from New Zealand partnerships if, treating all the partners as New Zealand resident, the income would have a New Zealand source under other provisions of s [YD 4](#) (s [YD 4\(17B\)](#)).
- # Income through permanent establishment (PE) — income attributable to a PE in New Zealand of a non-resident has a source in New Zealand unless the income is a dividend from a share in a foreign company that is not revenue account property (s [YD 4\(17C\)](#)) for income years beginning on or after 1 July 2018.
- # Income taxable under DTA — income of a non-resident that may be taxed in New Zealand under a DTA and is not income from sea transport, a premium for general insurance or income of a non-resident life insurer has a source in New Zealand unless the income is a dividend from a share in a foreign company that is not revenue account property (s [YD 4\(17D\)](#)) for income years beginning on or after 1 July 2018.
- # Any other source — Section [YD 4\(18\)](#) is a general catch-all provision, income derived directly or indirectly from any other source in New Zealand.
- # Business or contracts partly carried out outside New Zealand — in certain circumstances the income and expenditure from a business or contract conducted across international borders must be apportioned (s [YD 5](#)). Once an apportionment has been made under s [YD 5](#), the taxpayer is assessable for the resulting income tax liability.
- # For income years beginning on or after 1 July 2018, s [YD 5B](#) (not s [YD 5](#)) applies when a person carries on business activities through a PE in New Zealand. The amount of income and expenditure of the person that must be attributed to the PE are the amounts the PE might be expected to derive and incur if it were a distinct and separate enterprise engaged in the same or similar activities under the same or similar conditions and dealing wholly independently with the person.
- # Interest or redemption payments — in certain circumstances, where interest or a redemption payment is derived from money lent outside New Zealand to a New Zealand resident for the purposes of a business they carry on outside New Zealand through a fixed establishment outside New Zealand and through which they lend money to another New Zealand resident, the interest or redemption payment must be apportioned to a source in New Zealand under the formula in s [YD 5\(4\)](#).

Law: IT07 ss [YD 4](#), [YD 5](#), [YD 5B](#)

Last reviewed on 31 December 2025

Personal services — source of income [¶5-150]

[¶5-150]

[Click to open document in a browser](#)

The source of income is not a legal concept but something that a practical person would regard as a real source of income; the ascertaining of the actual source is a matter of fact. See *Nathan v FC of T* (1918) 25 CLR 183. In *C of IR v Philips' Gloeilampenfabrieken* [1955] NZLR 868, the Court of Appeal accepted that that approach was good law, at least for the purpose of determining the source of income under the head of income derived from any other source in New Zealand (s YD 4(18) of the IT07). New Zealand domestic law also needs to be read subject to the provisions of the DTAs to which New Zealand is a party (¶26-425).

The New Zealand approach

Case E46 (1982) 5 NZTC 59,277 concerned an army officer posted overseas for 2 years. The Taxation Review Authority held that the salary received during the term of the posting continued to have a source in New Zealand. In its judgment the Authority cited the decisions of the High Court of Australia in *FC of T v French* (1957) 98 CLR 398 and *FC of T v Mitchum* (1965) 113 CLR 401 and said that in the latter case the court did not lay down any firm rule that the source of income is the place where the work is done. The Authority said:

Bearing in mind the above factors and that O's income continued to emanate from a computer at Porirua as it had when he served in New Zealand so that only the actual paying office had changed ... his army salary was income derived directly or indirectly from a New Zealand source in terms of sec. 243(2)(r) of the Act [s YD 4(18) of the IT07].

The Authority went on to say that the taxpayer's salary was deemed to have a source in New Zealand under another provision, s 243(2)(c) of the 1976 Act (s YD 4(4) of the IT07) (¶5-144). The taxpayer was caught:

... by sec. 243(2)(c) in that his salary as an army officer was "earned in New Zealand in the service of any employer or principal ..." [The] emphasis is on "entitlement" so that para. (c) of subsec. (2) of sec. 243 can ... be said to cover all salaries, wages, allowances and emoluments, the entitlement to which arises in New Zealand. Although O performed the service of labour in Redland, he obtained or was entitled to remuneration as a result of New Zealand legislation.

The Australian approach

The position in Australia is that the Income Tax Assessment Act 1997 provides for an exemption for income derived from sources outside Australia where that income is assessable in the country in which it is derived. The approach taken by the Australian courts in this context is that the source of remuneration for services rendered is not a legal concept but something that a practical person would regard as the real source of income. The source of remuneration for services rendered is usually the place where those services are performed, although that will not always be the case. *C of T (NSW) v Cam and Sons Ltd* (1936) 4 ATD 32 concerned the source of wages paid to fishermen who had been engaged in New South Wales to go on fish trawling voyages off the coasts of Victoria and New Zealand. The trawling was done in the open sea, and each voyage lasted from nine to 25 days. The Supreme Court of New South Wales held that the wages earned should be apportioned in proportion to the wage earning time spent in and out of the territorial waters and that only the wages attributable to the time spent within the territorial waters were derived from a source in New South Wales. In his judgment, Jordan CJ noted that a source of income commonly consists of several factors, and the character of the source may depend upon which of those factors is dominant. In relation to personal services income, Jordan CJ said (at 33):

Where income is derived from wages or salary, again the source has several factors. Personal exertion may be involved in negotiating and obtaining the contract of employment, in performing the stipulated services, and in obtaining payment for them. In the present instance, for example, in the case of all the men concerned, in a very real sense it may be said that the source of their wages

consisted of the three elements of getting the job, doing it, and getting paid for it. Which of these factors is the most important element of the source in any given case depends upon the facts of that case.

In addition, multiple incomes derived from multiple sources may be apportioned according to those sources.

FC of T v French

FC of T v French ([1957](#)) [98 CLR 398](#) concerned an engineer employed by the Colonial Sugar Refining Co Ltd. During each year since 1943, the taxpayer had gone to New Zealand as an inspecting engineer for the company. During the period of absence, the company continued the usual arrangement of paying the taxpayer's monthly salary into his Sydney bank account. In 1950, he spent 16 days working in New Zealand, and he claimed that the salary of £110 on account thereof was exempt from Australian income tax. By a majority, the High Court of Australia accepted that view. The case was treated on the footing that month by month the taxpayer does his work in this or that place and thereby earns his salary. In this case, it is the personal exertion of the taxpayer that produces the income and the real source of the income in any practical sense must be the place where the personal exertion takes place. The locality of the real source of the income of £110 therefore was in New Zealand. The majority of the High Court in *French's* case took the place where the services were performed as the decisive factor determining the source of the taxpayer's income. The factors of the place where the contract of employment was made and the place where the remuneration was payable were not relied upon.

FC of T v Mitchum

However, in *FC of T v Mitchum* ([1965](#)) [113 CLR 401](#), it was held that the place where the services are performed does not always determine the source of personal services income. Barwick CJ commented that:

The conclusion as to the source of income for the purposes of the Act is a conclusion of fact. There is no statutory definition of "source" to be applied, the matter being judged as one of practical reality. In each case, the relative weight to be given to the various factors which can be taken into consideration is to be determined by the tribunal entitled to draw the ultimate conclusion as to source. In my opinion, there are no presumptions and no rules of law which require that that question be resolved in any particular sense.

Consequently, it became necessary to decide what the source was of the income of the taxpayer and that was a matter of fact for the court to decide. When income is received for services rendered, there is no rule of law that requires a conclusion that the source of the relevant income is in the place where the services are performed.

Law: IT07 s [YD 4\(4\)](#), [\(18\)](#)

Last reviewed on 31 December 2025

Source of income in e-commerce environment [¶5-155]

[¶5-155]

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The IT07 imposes income tax on income derived from a business wholly or partly carried on in New Zealand. Practical problems arise in an e-commerce and digital environment in deciding exactly from where income is sourced. Traditionally, income is sourced in the jurisdiction where the transaction occurs or where title and risk pass to the purchaser. For example, a United States company that sells various items to several overseas countries by mail order catalogue will have its income taxed in the United States. A similar transaction carried out over the Internet might appear to be more complex, but the analogy with mail order is useful.

Example:

A New Zealand resident purchases a gift for his sister from an online catalogue while on holiday in Australia. The order is placed and payment made through a credit card company based in the United States. The company selling the goods is based in England. It sends the gift to the buyer's sister who lives in Singapore. Depending on the mail order company's other activities, its income from the sale would most likely be taxed in England.

Ascertaining where a digital transaction takes place in order to determine taxing rights is an issue affecting tax authorities around the world. Consequently, the Organisation for Economic Co-operation and Development (OECD) has been working on a multilateral solution. On 8 October 2021 the OECD announced that a groundbreaking tax deal had been struck by 136 countries. A framework on Base Erosion and Profit Shifting (BEPS) statement on the Two-Pillar Solution to address the tax challenges arising from the digital economy was released ([¶26-608](#)).

As discussed in [¶5-144](#), the IT07 treats a number of classes of income as sourced or derived from New Zealand. The categories relevant to the e-commerce environment are listed below.

Income from any business wholly or partly carried on in New Zealand (s [YD 4\(2\)](#))

In an e-commerce environment, the types of transactions likely to constitute a business wholly or partly carried on in New Zealand include trading in merchandise and the provision of services. Preliminary or marketing activities are unlikely to be caught by this provision. The more interactive a website is, the more probable it is that the party offering goods and services will be carrying on business in New Zealand. A non-interactive website using an offshore server that merely provides advertising is unlikely to be considered to be carrying on business in New Zealand. On the other hand, a website that:

- # provides contact with New Zealand customers
- # has a New Zealand server
- # targets potential New Zealand customers, and
- # is tailored to the New Zealand environment

is far more likely to be considered to be carrying on business in New Zealand.

Once a non-resident is regarded as wholly or partly carrying on business in New Zealand, in the absence of relief under a relevant DTA the issue becomes one of apportionment of income and profits to New Zealand and other sources.

Income from contracts made or performed in New Zealand (s [YD 4\(3\)](#))

The issue of whether a contract has been either made or wholly or partly performed in New Zealand becomes complex where internet transactions are concerned. The following example illustrates some of the inherent difficulties in deciding where an e-commerce contract is made.

Example:

Using an electronic bidding system, a United States manufacturer emails qualified suppliers throughout the world notifying them that a job is up for tender and providing them with access to information through the internet. The suppliers use the system to return their bids. A New Zealand bidder is successful.

Contract law principles would dictate that the contract is made where the bid has been accepted, ie the United States location. This would expose the New Zealand bidder to United States tax on any profit on the supply. However, the New Zealand bidder would receive DTA relief provided it had no permanent establishment in the United States. Therefore, as prudent business practice, vendors should clearly state on the website whether the data constitutes an invitation to treat or an offer. If it is an offer, the foreign bidder would be taxed in its own jurisdiction. Income from contracting to provide a service may be caught by the source rule covering "contracts made or performed in New Zealand".

Income from employment earned in New Zealand (s [YD 4\(4\)](#))

As far as income from employment (including salaries and wages) ([15-051](#)) is concerned, most DTAs provide that an employee will be taxed in New Zealand only if they have been "present" in New Zealand for 183 days in any 12-month period. This has repercussions for workers who are employed on a telecommuting basis.

Example:

A New Zealand software company that operates in a highly specialised field decides to recruit new staff overseas. Two employees are hired, one from the United States and one from Canada. Both new employees telecommute, communicating with their new employer and their fellow workers solely by email and telephone. Neither employee has any plans to move to New Zealand.

Some commentators have suggested that, because the relevant wording in DTAs requires only a "presence" in New Zealand (rather than a physical presence), an employee who is "virtually present" in New Zealand should be taxed in New Zealand. The better view may be that an employee must be physically present in New Zealand to be taxed in New Zealand. The idea of a "virtual presence" being sufficient runs against a basic cornerstone of taxing the derivation of income — namely, it is taxed where the physical effort takes place. Depending on the domestic laws that apply in the Canadian and United States jurisdictions, each employee in the above example may be taxed in their own jurisdiction.

Royalties (s [YD 4\(9\)](#))

Many e-commerce transactions potentially involve the payment of royalties to non-residents. The OECD technical advisory group (TAG) on the Treaty clarification of issues arising from e-commerce published its final report in February 2001. The report identifies a number of typical e-commerce transactions and analyses them in terms of being either business profits or royalties. If the products are provided by an offshore party and income is classified as business profits, that offshore party will generally not be subject to income tax in the purchaser's jurisdiction unless it has a permanent establishment (PE) there. If income from the products is classified as a royalty, it will be subject to NRWT.

The TAG report is considered to be favourable towards online vendors because the majority of the receipts have been classified as business profits. Therefore, unless the vendor has a PE in the foreign jurisdiction, it will escape tax in that jurisdiction. Income from the following information products has been classified by TAG as business profits: downloading of digital products; updates and add-ons; online shopping portals; online professional services; digital products downloaded for single use; applications hosting online auctions; search and retrieval of information; advertising; data delivery services; online technical support; streaming audio and video; subscriptions to websites; data warehousing; and revenues from affiliate programs.

In contrast, income from the following items has been classified by TAG as royalties: use of copyrighted content (ie the right to publish or display copyrighted content); access to an interactive website; downloading and commercial exploitation (ie the right to reproduce and sell a product); and use of undivulged technical information (eg trade secrets).

Income derived from the disposal of New Zealand property (s [YD 4\(12\)](#))

For income to fall within this category, the property in question must be situated in New Zealand when the sale (or other disposal) is concluded. Sometimes this will be clear-cut — eg if an order for goods is lodged by email and paid for by credit card while the goods are held in New Zealand. On the other hand, if the sale is concluded while the goods are out of New Zealand, there is no New Zealand source. E-commerce makes the distinction between the provision of goods, services and intangibles more difficult to determine. For example, the sale of a magazine or newspaper will normally be treated as the sale of goods. Where the magazine or newspaper is delivered digitally rather than on paper, the question arises whether it is the provision of goods or whether it is a service that is being provided (which would be outside the scope of this provision of the IT07) or a licence to use the copyright. This is a difficult area of the law and will require careful consideration of the facts in each case. It is generally accepted that, for the purpose of indirect or consumption taxes (such as GST), the provision of a digital product is not the provision of goods.

Income derived from any other source in New Zealand (s [YD 4\(18\)](#))

This provision of the IT07 has not been utilised to a great extent by IR. In the absence of provisions specifically designed to capture e-commerce income it considers to be sourced in New Zealand, IR may decide to make more use of this catch-all provision.

Platform economy

The platform economy (also referred to as the gig and sharing economy) refers to economic activity facilitated by digital platforms and online marketplaces that connect buyers with sellers who provide their skills, assets, and labour. Examples include accommodation services (such as short-stay and visitor accommodation), transportation services (such as ride-sharing and delivery services), and personal and professional services provided through digital platforms.

The platform economy is a popular means of enabling people to supplement their income or conduct their business. In order for IR to understand the size of the platform economy and to meet international reporting obligations, new reporting requirements have been introduced from 1 January 2024.

For commentary on the reporting required for online marketplace operators, see [¶15-156](#).

Law: IT07 s [YD 4](#)

Last reviewed on 31 December 2025

Online marketplace income reporting rules [15-156]

[15-156]

[Click to open document in a browser](#)

Services facilitated by online marketplaces

From 1 January 2024, online marketplace operators (also referred to as platform operators) resident in New Zealand must collect and report information about sellers who provide relevant services.

The rules apply to:

- # online marketplaces that connect buyers with sellers of relevant services
- # sellers on online marketplaces that get income from relevant services.

Services to which the rules apply:

- # the rental of immovable property (including commercial and residential), such as carparks, short-stay and visitor accommodation (eg. Air BnB, [Booking.com](#) and the like)
- # personal services, such as ride-sharing (eg. Uber, Ola etc), food and beverage delivery, and graphic and web design services.

Note that the rental of immovable property is the actual renting out of that immovable property. Advertising an available property is not a relevant service for the purposes of these rules, neither is the sale of goods. A personal service is a service involving time or task-based work performed by one or more individuals at the request of a buyer.

The following providers of services are excluded:

- # government entities
- # businesses that have listed more than 2,000 nights of accommodation in a 12-month period
- # a listed company selling on the online marketplace.

Reporting requirements

Online marketplace operators must register for a Digital Platform Interface (DPI) account from October 2024, and report the following information by 7 February each year:

- # platform information
- # reportable seller information:
 - # sellers who are individuals:
 - first name and last name
 - address
 - jurisdiction(s) the seller is resident
 - tax identification number (TIN) and the jurisdiction that issued it
 - date of birth.
 - # sellers who are entities:
 - legal name
 - primary address
 - jurisdiction(s) the seller is resident
 - TIN issued to them and the jurisdiction that issued it
 - business registration number
- # immoveable property rental information:
 - # address of each property listing
 - # land registration number (if known)

- # number of days each property listing was rented during the calendar year
- # the type of each property listing (for example apartment, parking space), where available.

The report must cover the past calendar year's information. The first report is due on 7 February 2025 for information relating to services from 1 January 2024 to 31 December 2024.

The information should be shown in quarterly periods and IR requires the use of the OECD model rules XML Schema as the information will be exchanged with other tax authorities. The excel template is available in MyIR under the DPI account.

Online marketplace operators must send their sellers a copy of the information sent to IR.

Penalties

Penalties may apply to those online marketplace operators who fail to report the information to IR, or fail to meet the standards set, or who fail to take reasonable care. Penalties may also apply for failure to carry out due diligence and record keeping related to the sellers on their platform.

A penalty of \$300 for each occasion where there is a failure to meet the requirements that are set out in the reporting rules applies, unless the failure is due to circumstances outside the online marketplace operator's control. The penalty is capped at a maximum of \$10,000 per reportable period.

Where an online marketplace does not take reasonable care to meet a requirement and a \$300 penalty has not been applied, IR may assess penalties payable for each occasion. On the first occasion, a penalty of \$20,000 may apply. On subsequent occasions, a penalty of \$40,000 may apply. The maximum amount for a reportable period is \$100,000.

See AD279, "Information reporting for the sharing economy – online marketplace operators (December 2023) for more information.

Law: TAA ss [3\(1\)](#) "[extended model reporting standard for digital platforms](#)", "[model reporting standard for digital platforms](#)", [185S](#), [185T](#) and [226F](#)

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